products, such as mobile phones, laptops, components, solar cell modules and integrated circuits, it said.

RISING IMPORT DEPENDENCE

In a gazette notification on May 29, the Union ministry of electronics and information technology said that over the years, "the IT hardware manufacturing capability and capacity in the country has progressively declined and many units have either ceased operations or are operating at low capacities". Currently, the demand for laptops and tablets in India is largely met through imports. The unutilised installed manufacturing capacity is a low-hanging fruit as regards quickly scaling up manufacturing in the country, it said. India has the fastest-growing digital ecosystem with over 1.17 billion mobile subscribers and over 836.86 million internet users. Deeper internet penetration, increase in digital data traffic, public cloud services, IoT (internet of things) devices and the government's push for data localisation will lead to an influx of local and international players setting up data centres in India, which will further boost server demand in the country, the ministry added.

Most of the seven categories restricted for imports by India are targeted at China. In 2022-23, of the total imports of personal computers and laptops worth $5.3 billion (Rs 44,179 crore), goods worth as much as $4.1 billion (Rs 34,003 crore) came from China. During April-May 2023, India's imports from China for these restricted categories were valued at $743.6 million (Rs 6,143 crore), reflecting a 5.6 per cent decrease from $787.8 million (Rs 6,508 crore) in the corresponding period of the previous year, says a report by the business publication *India Briefing*. The highest share of imports among these categories was in the segment of personal computers, including laptops and palmtops. For this category, imports from China amounted to $558.4 million (Rs 4,613 crore) in April-May 2023, compared to $618.3 million (Rs 5,107 crore) in the same period last year, the report added.

One of the expectations of the import restrictions is to boost domestic production. India already has in place a production-linked incentive (PLI) scheme for IT hardware, offering a 4 per cent incentive on incremental production. In May, the scheme was revised, with its budget increased to Rs 17,000 crore, more than double the initial approval in 2021. The scheme aimed at reducing the dependence on imports.

The IT PLI scheme 2.0 covers laptops, tablets, all-in-one PCs, servers and ultra small form factor devices. Reports say it is expected to generate $40.5 billion (Rs 3.3 lakh crore) in incremental production, $293.6 million (Rs 2,426 crore) in incremental investment, and create 75,000 jobs over the scheme's six-year implementation period. The Centre said it had received 38 applications for the revised PLI scheme for IT hardware as on August 31.

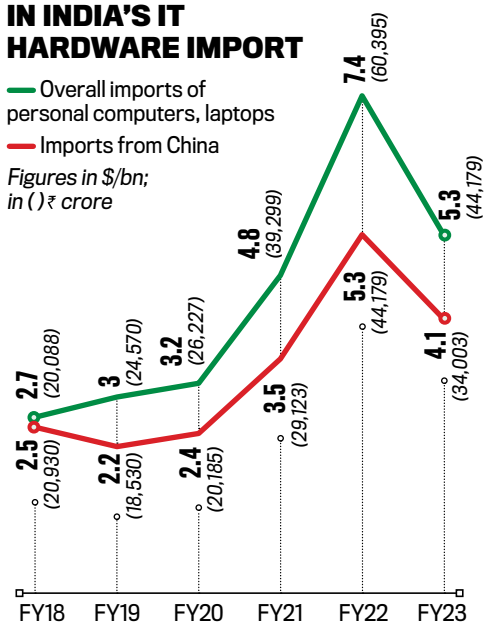
'PROTECTIONIST MOVE'

Much as the Centre would want to justify its move to curb imports, experts say it can be counter-productive. "The sudden imposition of licensing on the import of laptops, computers and tablets does not make sense," economist Ajit Ranade recently wrote in a newspaper article. "It reverses a reform whose rich fruits have been tasted for three decades." Post-1991, delicensing led to spectacular growth in a variety of sectors, ranging from automobiles, petrochemicals, pharmaceuticals, steel and metals to telecom equipment. Moreover, the move to impose

THE PC PLANET

The selection of categories for import restrictions seems to be aimed at China, the largest exporter of IT hardware in the world

CHINA'S SHARE IN INDIA'S IT HARDWARE IMPORT



Source: Ministry of Commerce and Industry

TOP 10 EXPORTERS OF COMPUTER DEVICES IN THE WORLD



UNITED STATES
$28.6 bn
(₹2.4 lakh cr.)
6.6%

MEXICO
$43 bn
(₹3.6 lakh cr.)
9.9%

Graphic by TANMOY CHAKRABORTY